

Macro Regime-to-Portfolio Decision Framework

Weekly Research Memo | As of: 2026-07-31 | Data: FRED | Tool: Python, Excel | Frequency: Weekly

Executive Summary

Portfolio	Equity Underweight, Duration Underweight, Cash Overweight, TIPS Overweight
Risk Appetite	Neutral — shifted from Risk-On as credit momentum deteriorated.
Rates & Inflation	Rate + Inflation Pressure — inflation concern is elevated.
Real Yield	Tightening ON — aggressive equity and duration overweights remain constrained.
Data Quality	Pass.

Current Signal Snapshot

Risk Appetite	Neutral
Risk Appetite Score	1 of 4
Direction of Travel	Deteriorating
Rates & Inflation	Rate + Inflation Pressure
Rate Pressure	ON
Inflation Concern	ON
Real Yield Tightening	ON
Data Quality	Pass

Risk Appetite Score Map: 0 = Risk-On, 1-2 = Neutral, 3-4 = Risk-Off

Rates & Inflation Regime: 1 = Rate + Inflation Pressure | 2 = Rate Pressure Only | 3 = Inflation Concern Only | 4 = No Pressure

Portfolio Stance

Asset Class	Stance
Equity	Underweight
Treasury Duration	Underweight
Cash / T-bills	Overweight
TIPS (Inflation Protection)	Overweight

Note: Equity and duration overweights are capped while Real Yield Tightening remains ON.

Stances are qualitative directional signals and not optimized portfolio weights.

Decision Rationale

Risk Appetite	Risk appetite deterioration argues against adding aggressive equity risk.
Rates & Inflation	Active rate pressure keeps duration neutral; inflation concern is elevated.
Real Yield	Real Yield Tightening caps aggressive equity and duration overweight positions.
Cash	Cash remains overweight as a liquidity buffer while rate pressure and real-yield tightening remain active.

What Changed

Risk Appetite	Moved from Risk-On to Neutral as credit momentum deteriorated.
Risk Appetite Score	Increased from 0 of 4 to 1 of 4.
Rates & Inflation	Remained Rate + Inflation Pressure.
Portfolio	Shifted to Equity Underweight, Duration Underweight, Cash Overweight, TIPS Overweight.

Next Triggers

Risk Appetite	A Risk Appetite Score of 3+ would shift the framework to Risk-Off; a score of 0 would restore Risk-On.
Rates & Inflation	Easing inflation concern would reduce pressure in the rates/inflation backdrop.
Real Yield	While Real Yield Tightening remains ON, aggressive equity and duration overweights remain constrained.
Portfolio	Further risk deterioration would justify a more defensive allocation stance.

Signals are regime indicators, not return forecasts.

Inputs include HY OAS, NFCI, VIX, Initial Claims, 10Y Treasury yield, breakeven inflation, and 10Y real yield.

Macro Regime-to-Portfolio Decision Framework

Supporting Evidence & Framework Audit | Driver Detail | Rule Map | Stress Event Audit

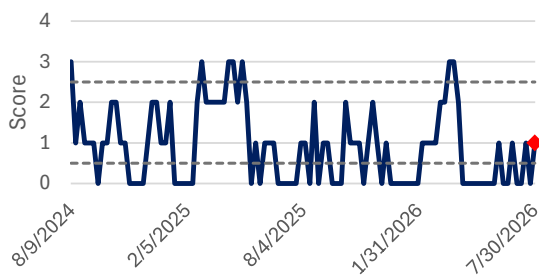
Driver Detail & Signal Evidence				
Channel	Indicator	Previous	Current	Interpretation
Credit	HY OAS	OFF	ON (Trend)	HY OAS widened; below P80.
Financial Conditions	NFCI	OFF	OFF	Financial conditions remain unstressed.
Volatility	VIX	OFF	OFF	Volatility stress remains inactive.
Labor Market	Initial Claims	OFF	OFF	Labor-market stress remains inactive.
Rates	Rate Pressure	ON (L+T)	ON (L+T)	Rate pressure remains active; level and trend confirmed.
Inflation	Inflation Concern	ON (Trend)	ON (Trend)	Inflation concern remains active; trend confirmed.
Real Yield	Real Yield Tightening	ON (L+T)	ON (L+T)	Real-yield tightening remains active; level and trend confirmed.

Driver flags explain regime evidence, not return forecasts.

Note: L+T = Level + Trend.

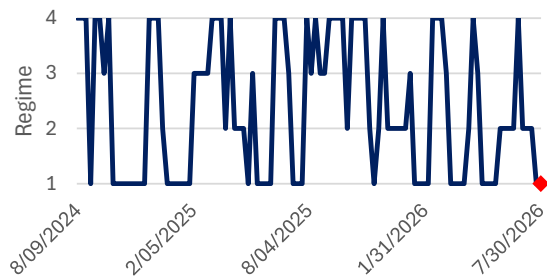
Risk Appetite — Historical Signal Evidence

Risk Appetite Score (Last 2Y)



Rates & Inflation — Historical Regime Evidence

Rates & Inflation Regime (Last 2Y)



Risk Appetite Engine		
Indicator	Trigger Rule	Score
HY OAS	Level > rolling P80 OR positive 4W change	+1
NFCI	Level > rolling P80	+1
VIX	Level > rolling P80	+1
Initial Claims	Level > rolling P80	+1

Risk Appetite Score Map: 0 = Risk-On, 1–2 = Neutral, 3–4 = Risk-Off

Rates & Inflation Regime Matrix			
Rate	Inflation	Regime	Display Label
ON	ON	1	Rate + Inflation Pressure
ON	OFF	2	Rate Pressure Only
OFF	ON	3	Inflation Concern Only
OFF	OFF	4	No Rate / Inflation Pressure

Rates & Inflation Engine		
Component	Trigger Rule	Role
10Y Treasury Yield	P80 level OR positive 4W change	Rate Pressure
10Y Breakeven Inflation	P80 level OR positive 4W change	Inflation Concern
10Y Real Yield	P80 level OR positive 4W change	Portfolio constraint

Historical Regime Recognition				
Event	Regime Recognition	Recognition Timing	Peak Risk Score	Peak R&I Regime
Global Financial Crisis	Recognized	0	4	R4
COVID Shock	Recognized	0	4	R4
2022 Inflation / Rates Shock	Recognized	0	1	R1
2023 Regional Bank Stress	Recognized	0	3	R4

Case results are regime diagnostics, not forecasts or return backtests. Timing 0 may reflect pre-existing stress. R1–R4 denote Rates & Inflation regimes.